QUESTION ONE: An extract of the returns filed by Apple Insurance Plc, a company engaged in non-life business for 2021 and 2022 assessment years, revealed the following:

Assessment year	2022	2021
	N'000	N'000
Reserve for un-expired risk brought forward	50,000	43,000
Reserve for un-expired risk carried forward	65,000	50,000
Estimated claims and outgoings	4,200	3,000
Actual claims and outgoings for the year	2,500	2,800
Net profit before claims	12,000	11,000
Total premium written	125,150	122,000
Premium paid on reinsurance	11,400	11,200
Premium returned to insured	8,200	7,100

Required:

Compute the following for 2021 and 2022 assessment years:

(a) The un-expired risk that is attributable to the risk accepted in each year

(b) Assessable profits

(c) The gross premium liable to minimum tax.

QUESTION TWO: Bakosa Insurance Co. Plc. is a company engaged in both life and other insurance businesses.

You were appointed as the tax consultant of the company on June 30, 2021. The Managing Director of the company invited you to a meeting of the directors with a view to intimating them of the recent changes introduced by the Finance Acts 2019 and 2020, relating to insurance business.

Required: Explain the recent changes introduced by Finance Acts 2019 and 2020, that relate to the computation of tax liabilities of insurance companies.